

they are afraid of the government. And I do know how frightening and intimidating a government tax agent can be. I have had friends who have had their businesses shut down and destroyed, only to find out it was a mistake on the part of the government. I realize all that. But the price of working from January to mid-May is a high price to pay for that intimidation. My poor dad never fought back. My rich dad didn't either. He just played the game smarter, and he did it through corporations-the biggest secret of the rich.

You may remember the first lesson I learned from my rich dad. I was a little boy of 9 who had to sit and wait for him to choose to talk to me. I often sat in his office waiting for him to “get to me.” He was ignoring me on purpose. He wanted me to recognize his power and desire to have that power for myself one day. For all the years I studied J and learned from him, he always reminded me that knowledge was power. And with money comes great power that requires the right knowledge to keep it and make it multiply. Without that knowledge, the world pushes you around. Rich dad constantly reminded Mike and me that the biggest bully was not the boss or the supervisor, but the tax man. The tax man will always take more if you let him.

The first lesson of having money work for me, as opposed to working for money, is really all about power. If you work for money, you give the power up to your employer. If your money works for you, you keep and control the power.

Once we had this knowledge of the power of money working for us, he wanted us to be financially smart and not let bullies push us around. You need to know the law and how the system works. If you're ignorant, it is easy to be bullied. If you know what you're talking about, you have a fighting chance. That is why he paid so much for smart tax accountants and attorneys. It was less expensive to pay them than pay the government. His best lesson to me, which I have used most of my life, is “Be smart and you won't be pushed around as much.” He knew the law because he was a law-abiding citizen. He knew the law because it was expensive to not know the law. “If you know you're right, you're not afraid of fighting back.” Even if you are taking on Robin Hood and his band of Merry Men.

My highly educated dad always encouraged me to seek a good job with a strong corporation. He spoke of the virtues of “working your way up the corporate ladder.” He didn't understand that, by relying solely on a paycheck from a corporate employer, I would be a docile cow ready for milking.

When I told my rich dad of my father's advice, he only chuckled. “Why not own the ladder?” was all he said.